

Article | 18 September 2026

FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

James Knightley

Chief International Economist, US

james.knightley@ing.com

James Smith

Developed Markets Economist, UK

james.smith@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Benjamin Schroeder

Senior Rates Strategist

benjamin.schroeder@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct

THINK Economic and financial analysis

Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 16 September 2026

FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



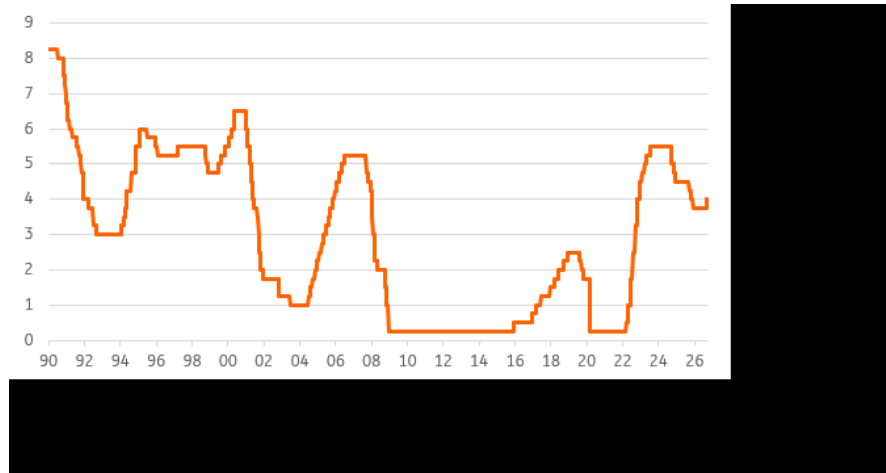
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

Author

James Knightley

Chief International Economist, US

james.knightley@ing.com

Padhraic Garvey, CFA

Regional Head of Research, Americas

padhraic.garvey@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

Author

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 September 2026

ROMANIA

Romania's lower speed limit

Romania's growth engine has slowed, with potential GDP growth falling to c.2.0% from 3.5%-3.75% before the pandemic. A powerful investment cycle is preventing a steeper decline and could raise potential growth to 2.4%-2.7% by 2027-2029. The next challenge will depend less on how much Romania builds, and more on how productively it uses those new assets



The convergence journey continues, but no longer in the fast lane

Romania has spent much of the past two decades catching up with Western Europe at remarkable speed. GDP per capita in purchasing power standards rose from about 44% of the EU average at EU accession in 2007 to 78% in 2025. Labour productivity increased rapidly, foreign capital brought technology and know-how, workers moved towards more productive activities and EU integration delivered a substantial investment dividend. We believe that the convergence story is not over, but the easy gains are.

That convergence machine has changed gear

The Romanian economy grew by only 0.7% in 2025 and is about to post an annual contraction in 2026. We estimate a pick-up to around 2.2% in 2027-2028. Much of the present weakness is

cyclical: fiscal consolidation, high inflation, subdued consumption and soft external demand are pushing actual GDP below capacity. Potential GDP asks a different question: how fast could the economy grow, with labour and capital employed at normal rates and without continuously adding inflationary pressure? **Our answer is roughly 2.0% today.**

That is substantially less than before the pandemic. The IMF estimated potential growth at about 3.7% in 2017-2019, largely similar to the European Commission's estimates, and its 2025 Article IV put it at 2.0% in 2025 and 1.8% in 2026. Our central view is that the current downturn probably exaggerates the extent of the structural damage. As the investment cycle continues and cyclical headwinds fade, potential growth could recover to 2.4%-2.7% during 2027-2029. Getting sustainably above 3.0% again (as in the IMF's projections for 2029-2030) would require stronger labour utilisation and a much better productivity return on investment.

Potential growth is an estimate, not an observable fact

Potential GDP cannot be measured directly. It has to be inferred from models, which is why estimates can vary. For Romania, the current spread between various observations is rather wide. The IMF sees a temporary trough followed by a strong recovery in supply capacity. Romania's 2026-2028 medium-term fiscal plan embeds a much weaker profile. The EC's published growth and output gap forecasts imply a weaker near-term path. Fitch's August 2026 assessment offers a useful and fresh cross-check: it expects growth to recover to an estimated potential rate of about 2.3% in 2027-2028.

Romania's potential GDP growth - estimates by institution

(%)	2026	2027	2028	2029
IMF, 2025 Article IV	1.8	2.5	2.8	3.0
2026-2028 fiscal-budgetary strategy	1.5	1.6	1.6	1.7
European Commission *	1.2	1.4	2.2	2.5
Fitch August 2026		c.2.3	c.2.3	
ING estimate	c.2.0	c.2.4	c.2.5	c.2.6

* author calculations from published real GDP and output gap forecasts

The gap between estimates does not make the concept useless, but it is a warning against false precision. Our reading sits between the weaker assumptions from Romania's fiscal plan and the stronger IMF-estimated figures. The structural slowdown is real, but the 2025-2026 cyclical shock is probably making the trough look worse than the medium-term trend.

What sits behind the headline numbers

A simple way to think about potential growth is that an economy can produce more because it has more capital, more effective labour, or combines the two more efficiently (trend total factor productivity). The European Commission formalises this with a Cobb-Douglas production function:

$$g(\text{potential GDP}) \approx g(\text{trend TFP}) + 0.35 \times g(\text{capital}) + 0.65 \times g(\text{potential labour})$$

If productive capital grows by 3%, effective labour is flat and trend TFP rises by 1%, potential GDP growth is just slightly above 2.0%. That is close to the order of magnitude we think describes Romania today.

The 65% labour weight is the standard EU methodology. [A Romanian study](#) suggests labour's historical income share may be lower, implying a larger role for capital. However, changing factor shares mainly redistributes growth between capital and productivity rather than fundamentally altering the conclusion. For comparability, we stick to the European Commission framework.

Contribution to potential growth

	2017-19	2025-26	Change
Trend TFP (pp)	c.2.2	c.0.8	c.1.4
Capital accumulation (pp)	c.1.2	c.1.0	c.0.2
Potential labour (pp)	c.0.3	c.0.2	c.0.1
Potential GDP growth (%)	c.3.7	c.2.0	c.1.7

Author calibration based on European Commission, IMF, Eurostat/OECD labour data and investment trends. These are ranges, not econometric point estimates

The message is clearer than the exact decimals: the constraint is not a lack of investment. It is weaker productivity growth and less favourable labour dynamics. Gross fixed investment has recently been around one-quarter of GDP and public investment is exceptionally high. Reasonable assumptions for the capital-output ratio and depreciation put the capital contribution near one percentage point. The demographic trend is negative, but participation, migration, structural unemployment and hours worked matter too, so the current labour drag is probably small. The residual is trend productivity, at roughly 1.0-1.2 percentage points.

Capital: the 2027 handover is the key test

The optimistic part of the story is the investment pipeline. New roads, railways, energy infrastructure and digital networks increase the capital stock directly. They can also boost productivity by reducing transport costs, widening labour markets, improving energy access and lowering administrative frictions. These gains arrive with a lag, which is why potential growth may improve even as the economy struggles in the short term.

The challenge is that 2027 marks a transition point. The Recovery and Resilience Facility ended in August 2026, while cohesion-funded projects continue. EU inflows should remain substantial but lower than during the peak years. Public investment is therefore likely to moderate, making the handover from public to private investment increasingly important.

If better infrastructure encourages factories, logistics capacity, energy projects and digital investment, capital can continue contributing close to one percentage point and TFP should improve as the assets are used. If private capex does not respond, Romania will have experienced a very large investment cycle without a matching increase in its permanent growth rate. The difference is worth several tenths of a percentage point of potential growth.

Labour: demographics matter, but they are not everything

Romania's population fell from 23.2 million in 1990 to 19.0 million in 2025. The population aged 20-64 dropped from 13.4 million to 11.0 million and the OECD projects only 8.5 million by 2050. Taken mechanically, that path would eventually subtract around 0.6-0.7 percentage points a year from potential growth under the EU production function weight.

But potential labour is not determined by demographics alone. It also depends on participation rates, employment, skills and hours worked. In 2025, only 69.0% of Romanians aged 20-64 were employed, compared with 76.1% across the EU; female employment was 59.5%. These gaps matter. The IMF estimates that closing the participation gap with the EU average could raise the labour force by 14.5% and the level of potential GDP by about 6.5%. That is a level effect, not an annual growth rate, but it is economically large.

For 2027 and beyond, the labour scenario therefore depends on whether Romania can employ more women, young people and older workers, reduce informality, improve health and childcare and use migration more systematically. Population ageing is largely predetermined but labour utilisation is not.

Productivity is where most of the growth has gone missing

Productivity is where most of the old growth has gone missing. The European Commission estimates that real labour productivity per hour grew by around 4.5% a year in 2015-2019 but only about 2.0% in 2020-2025. Some slowdown was inevitable as the economy became richer and the easiest gains from reallocation, imported technology and integration into European supply chains were used up.

Yet Romania still has plenty of room to catch up. The EC data shows that R&D spending was around 0.5% of GDP in 2025, compared with 2.2% in the EU. Business R&D was 0.3% of GDP; only 8.8% of firms introduced a product or process innovation in 2020-2022; and tertiary attainment among 25-34-year-olds was 23.2%, barely half the EU average.

The encouraging part is that Romania already hosts highly productive firms and sectors, many integrated into international supply chains. The challenge is diffusion: spreading technology, management practices and skills beyond a relatively small group of firms and urban centres. This is important because the slowdown in potential growth cannot be explained primarily by weaker capital accumulation or labour supply. Investment remains high, and the labour

contribution has changed only modestly. Most of the decline therefore shows up in trend TFP, which captures how efficiently labour and capital are used across the economy. In practice, that points to slower technology adoption, weaker innovation and a slower spread of productivity-enhancing practices from frontier firms to the rest of the business sector. Whether the current TFP contribution is +0.6pp, +0.8pp or +1.1pp is less important than the directional change: it is well below the 2ppt-plus contribution that underpinned Romania's fast convergence years.

AI can help

AI and automation are particularly relevant for Romania because they can address two challenges simultaneously: labour-saving technologies become more valuable as the population ages, while digital tools can help spread efficient practices beyond a relatively small group of highly productive firms.

The World Bank's 2026 Innovation Rising work estimates that broader adoption of digital technologies, including software and AI-enabled tools, could ultimately lift labour productivity levels by as much as 10%-15% across Bulgaria, Croatia, Poland and Romania. The word "levels" matters: this is not 10%-15% annual productivity growth. It is a cumulative gain that would materialise only as firms adopt and reorganise around the technology.

Our baseline therefore contains no heroic AI uplift. In an upside scenario, faster diffusion could plausibly add a few tenths of a percentage point to annual potential growth for several years. But that requires complementary investments in skills, management quality, R&D, financing and firms with enough scale to deploy the technology.

So how fast can Romania really grow?

Three paths for Romania's growth speed limit

Scenario	Current	2027-29	Beyond 2029	What gets us there
Downside (%)		1.5-2.0	Mid1s	Weak TFP, poor investment efficiency, lower participation
Base case (%)	c.2.0	2.4-2.7	Mid2s	Private capex partly replaces public capex, stable participation, modest TFP recovery
Upside (%)		2.8-3.2	c.3.0 for longer	Crowding-in, higher participation, faster digital diffusion

Scenario ranges are author estimates, informed by IMF, European Commission, OECD, Eurostat and World Bank evidence. They are not official forecasts

The near-term estimate is unusually uncertain because the current downturn distorts real-time measures of trend growth. The medium-term range is better anchored by the investment pipeline. Beyond 2029, the range widens again: public investment normalises, demographic

drag becomes more visible and productivity has to do more of the work.

This is also why 2.0% potential growth today does not cap actual growth at 2.0%. If output starts below potential, actual GDP can grow faster for a time as the gap closes. The speed limit matters over time, not in every quarter.

Why potential growth matters in the end

Estimating potential growth is difficult but getting it wrong can have real policy consequences. For wages, productivity is the anchor. If productivity growth settles near 2.0%, repeated real wage gains of 5.0%-7.0% or even higher would be hard to sustain without squeezing margins, raising prices or damaging competitiveness. For fiscal policy, lower potential growth means slower trend revenue and less favourable debt dynamics. Cutting productive investment to protect current spending can improve today's deficit while weakening tomorrow's potential GDP and, ultimately, the fiscal ratios measured against it.

The uncertainty also matters for structural budget estimates. Overestimating potential GDP can make a structural deficit look cyclical; underestimating it risks tightening policy unnecessarily.

Even so, potential growth of around 2.5% is not stagnation. If the EU grows by roughly 1.0%-1.5%, Romania can continue converging, only more slowly than during the exceptional catch-up of the past two decades.

The investment bridge

Romania is not running out of things to build or scope for convergence. It is running out of easy sources of growth. Potential growth of 3.5%-3.75% was plausible before the pandemic. Today, around 2.0% looks more realistic, with a gradual recovery towards 2.4%-2.7% possible over the next few years, albeit with a wide uncertainty band.

In the end, public investment can create opportunities, but it cannot guarantee lasting growth. Whether Romania's speed limit rises again will depend on productivity, labour-force participation and the ability of firms to turn new roads, railways, energy infrastructure and digital networks into higher-value economic activity.

Author

Valentin Tataru

Chief Economist, Romania

valentin.tataru@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 September 2026

COMMODITIES DAILY

The Commodities Feed: Oil cools off from the highs

Crude oil started the week on a soft note as the focus shifts toward discussions at this week's UN General Assembly (UNGA) summit and the Trump-Xi meeting, even as supply risks persist



A softer start to the week has seen ICE Brent fall by around 2%, taking prices below \$102/bbl

Energy - Brent down despite ongoing supply risks

Crude oil started the week on a softer footing, with ICE Brent falling around 2% to below \$102/bbl and WTI easing to around \$98/bbl. The pullback comes despite ongoing geopolitical risks and continued concerns over global oil supply disruptions. Profit-taking after recent gains, together with hopes for constructive discussions at this week's UN General Assembly (UNGA) and the upcoming Trump-Xi meeting, helped improve market sentiment.

Supply concerns remain elevated. Saudi Aramco has warned some European customers that it may be unable to allocate crude cargoes next month under long-term contracts as disruptions to the East-West pipeline limit crude availability at Yanbu. The pipeline was damaged in last week's drone attacks and could take several weeks to fully restart. Reduced Saudi supply has tightened the European market, with some North Sea crude grades trading at steep premiums to benchmark prices.

Meanwhile, speculative positioning remains firmly bullish. ICE data show money managers

increased their net long Brent position by 16,904 lots over the past week to 282,657 lots as of last Tuesday, the largest net long since late May 2026. The increase was driven largely by short covering as investors continue to price in greater upside risk from Middle East supply disruptions.

Refined product markets also remain tight. August exports from key Asian suppliers declined amid constrained crude availability and refinery outages. India's gasoline and diesel exports fell 14.5% year-on-year and 19.2% YoY, respectively, while Chinese gasoline exports dropped 57.4% YoY. Although Chinese diesel exports increased, lower overall product availability from Asia has kept Western markets undersupplied and supported crack spreads. The ICE gasoil crack spread has risen to around \$95/bbl this week, up from an average of roughly \$74/bbl in August.

Metals – Gold edges lower

Gold edged lower at the start of the week as investors assessed the implications of the Federal Reserve's first rate hike since 2023 and the prospect of further policy tightening. Comments from Fed officials reinforced concerns that inflation remains elevated, supporting expectations that rates will stay higher for longer. While tighter monetary policy remains a headwind for bullion, ETF holdings are sitting at a six-month high, and continued central bank buying should help limit downside.

LME copper is holding above \$14,500/t, supported by signs of improving Chinese demand. The Yangshan premium climbed to \$124/t, its highest level since November 2022, signalling stronger import appetite, while domestic production eased slightly in August. Copper remains up more than 16% this year amid ongoing supply tightness driven by stronger US imports ahead of potential refined copper tariffs. Near-term price action is likely to remain range-bound as supply risks offset macro headwinds and markets await greater clarity on US trade policy.

Chinese August trade data showed unwrought aluminium and aluminium product imports fell 10% YoY to 290kt, reflecting stronger domestic supply. Steel imports also weakened, down 13.3% YoY to 430kt. Meanwhile, alumina exports surged 135.8% YoY to 430kt, supported by higher Chinese output and ongoing supply disruptions linked to tensions in the Middle East.

The latest SHFE data showed inventories declined across most base metals last week, with aluminium stocks falling for a 14th consecutive week to 321kt. Lead, nickel and zinc inventories also moved lower, reflecting steady demand and restocking activity. Copper was the exception, with stocks rising 2.4% WoW to 56kt, reversing three weeks of declines.

Agriculture – Cocoa declines as supply concerns ease

Cocoa prices extended their decline on Friday, with US cocoa falling around 8% as comfortable

near-term supplies continued to weigh on the market. Prices are now down almost 18% this month, putting cocoa on track for its first monthly decline since February. Exchange-monitored inventories in both Europe and the US remain relatively ample, while demand recovery has been slow as manufacturers continue efforts to reduce cocoa usage following the period of elevated prices. Despite the recent sell-off, concerns over deteriorating crop prospects in Ivory Coast and Ghana, together with the risk of a strong El Niño event, continue to support expectations of a supply deficit in the 2026/27 season.

Western Australia's Grain Association raised its forecast for the 2026/27 wheat crop to 10mt from 9mt, reflecting improved rainfall and better yield prospects. However, output is still expected to fall short of last season's record 13.3mt harvest. While recent weather conditions have improved production potential, heat remains the key risk. Hot winds across major growing areas and limited rainfall forecasts are likely to keep crop conditions under pressure through the remainder of the season.

Chinese customs data show corn imports rose to 320kt in August, taking cumulative imports for the first eight months of the year to 1.7mt, up 91.1% YoY. The increase reflects efforts by traders to diversify sourcing away from the US amid rising trade tensions and policy uncertainty. Wheat imports also strengthened, rising 13.4% YoY to 260kt in August, while cumulative January-August imports increased 35.6% YoY to 3.5mt.

Russia's Agriculture Ministry reported that grain harvests had reached 120mt as of 18 September, including more than 90mt of wheat, with wheat harvesting around 92% complete. Meanwhile, farmers had sown 6m hectares of winter crops, against a target of more than 19m hectares for this year's planting campaign.

In France, crop conditions continue to deteriorate following the summer heatwave. The Agriculture Ministry reported that just 23% of the corn crop was rated good to excellent as of 14 September, down from the previous week and well below the 62% recorded a year ago. Harvest progress accelerated, with 27% of the crop collected, up from 9% the previous week and ahead of the five-year average of 5%.

Author

Ewa Manthey

Commodities Strategist

ewa.manthey@ing.com

Warren Patterson

Head of Commodities Strategy

Warren.Patterson@asia.ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 September 2026

FX

FX Daily: New central bank calls, unchanged EUR/USD view

We now expect both the ECB and the Fed to hike rates in December. [Here](#), we discuss our new calls and why we're keeping our EUR/USD profile unchanged, still targeting 1.160 for year-end. We expect oil to dominate as an FX driver this week, with President Trump expected to meet Gulf state members and President Xi Jinping. USD/JPY risks remain on the upside



We see mostly downside risks for EUR/USD this week

→ USD: Big summits this week

The dollar lost some ground on Friday after a reported Bank of Japan rate check (more in the JPY section below), but in our view it remains on solid footing. We recently [updated our Fed call](#) and now expect one final hike this year. December remains more likely than October, partly because of its proximity to the midterms, although stronger data and further gains in energy prices could encourage markets to add to the 13bp currently priced for next month. If markets assign at least a two-thirds probability to a hike by decision day, the Fed may feel compelled to act, even without full conviction, to avoid unwanted volatility at the back end of the curve.

The scope to keep pricing a more hawkish Fed after the September FOMC remains a key argument for further US dollar gains. While we still see near-term upside risks for the greenback, our year-end and longer-term view is unchanged and gradually USD negative. We remain materially more dovish than market pricing on the Fed and continue to use a sharp decline in oil prices in 4Q as our baseline scenario.

With little on the data calendar, oil should be the key driver for the USD this week. Investors will focus on US President Donald Trump's meetings with Gulf state representatives, reportedly taking place in New York alongside the UN General Assembly. Crude has softened in recent days, but the market still lacks enough encouraging news to push prices back below \$100/bbl.

Trump is also due to meet Chinese President Xi Jinping in Washington on Thursday. While this shouldn't be a major market event, positive trade headlines could provide some support to the dollar.

Francesco Pesole

➔ **EUR: ECB speakers still hinting hawkish**

Two more regional elections this weekend added fuel to Germany's ruling Christian Democratic Union (CDU) party's crisis. The far-right Alternative for Germany (AfD) [won Mecklenburg-Vorpommern](#), where the CDU missed the 5% threshold to enter the State parliament, and the Left Party won Berlin. Our macro team argues [here](#) that both outcomes mostly reflect local dynamics rather than a verdict on Chancellor Friedrich Merz's reform agenda. Still, with CDU support falling and the political landscape becoming increasingly fragmented, delivering that agenda may become more challenging. These developments add some clouds to the euro, but are not enough to displace rate differentials and oil as its primary drivers.

Alongside our Fed call, we've changed our ECB forecast and now expect another hike in December. However, we've kept our EUR/USD profile unchanged, still targeting 1.160 for year-end. The main reason is that EUR and USD front-end swaps – the most relevant for FX – look quite similar. There are 33-37bp priced in by year-end and 80-90bp by July. Since we see only one more hike by both central banks this year and then a prolonged pause, the dovish repricing should be similar in size. That is often associated with a slightly higher EUR/USD as lower USD rates tend to have a positive knock-on effect on global risk sentiment. Incidentally, we expect that repricing to happen on the back of lower energy prices, also a EUR/USD positive.

For this week, we still see mostly downside risks for EUR/USD, though. A retest of the 1.1320-30 lows from June looks premature and is not supported by our short-term fair value model. Nevertheless, it would become a realistic scenario if Brent moves back towards \$110/bbl and markets increase pricing for an October Fed hike.

Francesco Pesole

↓ JPY: Intervention risk remains high

A reported Bank of Japan rate check on Friday pushed USD/JPY below 157.0. If confirmed, it may suggest that Japanese authorities are focused more on the pace of moves over a rolling x-day period than on defending a specific level.

The hope is that this approach avoids creating a clear line in the sand for markets to target and helps keep positioning cautious. Nevertheless, the Fed has sounded distinctly more hawkish than the Bank of Japan this month, leaving room for further USD/JPY gains.

Against that backdrop, a return to 160.0 still looks consistent with prevailing conditions, although intervention risk remains clearly elevated.

Francesco Pesole

→ CEE: Rating downgrade adds to a bearish regional outlook

The second half of the month is typically quieter in CEE, with little beyond tomorrow's National Bank of Hungary's meeting likely to attract market attention. Headlines from the Middle East and US over the weekend suggest a slightly positive open for markets today. On Friday, Moody's downgraded Poland to A3, bringing its rating in line with S&P and Fitch. Although bond markets may have partly priced this in, some aversion to Polish bonds is likely this morning.

Today's calendar includes Poland's August wage data, a key indicator for the central bank. Polish retail sales follow tomorrow, alongside the National Bank of Hungary meeting. The NBH is [expected to pause its current "mini" easing cycle](#), leaving the policy rate at 5.50%. It will also publish a new forecast and may review its inflation target, potentially outlining a two-step reduction from 3.0% to 2.0%.

In the Czech Republic, consumer demand data is due on Thursday, followed by Friday's Czech National Bank minutes, which should provide more detail on last week's board discussion.

CEE currencies remain weak, and we retain a bearish outlook for the week ahead. Limited progress in the US-Iran conflict, high energy prices and a stronger US dollar should continue to hinder any recovery. After last week's CNB meeting, we still see 24.300–24.350 as fair value for EUR/CZK. By contrast, EUR/PLN has further upside potential, with today offering an early test after the rating downgrade. EUR/HUF may rise today, but tomorrow's NBH meeting should provide temporary support to the forint, potentially allowing EUR/HUF to test 362.

Frantisek Taborsky

Author

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 18 September 2026

SWITZERLAND

Swiss National Bank preview: Still no reason to move

Swiss economic growth has recently surprised on the upside, but inflation remains too low to warrant a change in monetary policy. We expect the Swiss National Bank to keep its policy rate at 0% next Thursday and to remain on hold over the coming quarters



Swiss National Bank Chairman Martin Schlegel

The economy has performed better than expected

The Swiss economy has recently delivered a positive surprise. GDP adjusted for sporting events increased by a particularly strong 1.5% quarter-on-quarter in the second quarter. Importantly, this figure is not annualised, making the expansion all the more remarkable. Growth was broad-based across sectors and demand components, in line with the improvement in confidence indicators.

The headline figure nevertheless probably overstates the underlying strength of the economy. Almost half of the quarterly increase came from the volatile chemicals and pharmaceuticals sector, alongside a sharp rise in exports. A deceleration is therefore likely in the second half of the year.

Even so, the economy is clearly performing better than anticipated a few months ago. We

have raised our forecast for GDP growth to an average of 1.9% in 2026, while we expect growth of 1.6% in 2027. The stronger outlook reflects the solid performance recorded in the first half of the year, somewhat more favourable international demand and the recent slight weakening of the Swiss franc. Domestic demand should also continue to expand, supported by private consumption and stronger capacity utilisation.

Stronger growth is not an inflation risk

The stronger growth performance does not, in our view, represent a significant risk to price stability. The consequences of the global energy shock are visible in Switzerland, but they remain much less severe than in most other developed economies.

Following the rise in global energy prices, headline inflation increased to 0.8% year-on-year in August, from 0.4% in July. This was largely driven by petroleum product prices, which were 25.2% higher than a year earlier. Nevertheless, inflation remains comfortably within the SNB's 0-2% inflation target.

More importantly, underlying inflationary pressures remain extremely weak. Excluding petroleum products, Swiss inflation stood at just 0.3% year-on-year in August. This suggests that the energy shock has not translated into broad-based price pressures and that domestic second-round effects remain limited.

The strength of the Swiss franc continues to play a considerable role in keeping inflation below that of Switzerland's main trading partners. By limiting the increase in the price of imported goods, the currency acts as an important buffer against global inflationary shocks. This mechanism is particularly powerful in Switzerland, where imported goods account for around 22% of the consumer price index. It also helps explain why the current energy shock is proving much less inflationary than elsewhere, as was already the case in 2022.

However, the exchange-rate channel provided slightly less disinflationary support in August than in previous months. The franc has weakened moderately against the euro since the SNB's June meeting. This should provide some support to exporters and could put limited upward pressure on imported prices, but the currency remains strong by historical standards.

Inflation should remain under control

Inflation is likely to remain contained over the coming months. In forecasts published yesterday, the government maintained its projections for average inflation at 0.6% in both 2026 and 2027. These forecasts are based on the current profile of energy futures, which points to lower oil prices over the coming months. If that profile materialises, part of the recent increase in headline inflation should prove temporary.

We believe that the SNB is likely to revise its conditional inflation forecast slightly higher, particularly over the short term, to account for the recent increase in energy prices and the

somewhat weaker franc. At its June meeting, it forecast average inflation of 0.6% in 2026 and 2027 and 0.7% in 2028. A modest upward adjustment now looks likely, but we do not expect a significant revision to the medium-term profile. Underlying inflation remains very low, domestic price pressures are contained and the pass-through from the energy shock remains limited.

Overall, there is little to suggest that the SNB needs to change its policy rate. We expect it to leave the rate unchanged at 0% on Thursday and to remain on hold over the coming quarters, particularly if, as we expect, global energy prices eventually decline.

The SNB is therefore likely to continue to stand out from other central banks by maintaining a much more accommodative monetary policy stance. This divergence reflects Switzerland's domestic inflation environment, which remains unusually benign thanks in large part to a currency that is still strong.

FX intervention remains a backstop, not the base case

Foreign exchange intervention will remain part of the SNB's policy toolkit. In June, the central bank referred specifically to purchases of foreign currency to counter a rapid and excessive appreciation of the franc. Such action would remain possible in the event of a renewed safe-haven shock that pushes imported inflation lower and revives deflation risks.

For now, the franc's recent weakening and Switzerland's persistently lower inflation relative to its trading partners have reduced the need to intervene. The SNB is therefore unlikely to respond to every bout of nominal appreciation, particularly as the franc's real effective appreciation remains more limited.

The asymmetry of the SNB's communication is also significant. It has not signalled a willingness to sell foreign currency to strengthen the franc, as it did in 2022, to curb imported inflation. With inflation still firmly under control, there is little reason to reopen the door to such interventions. We therefore expect the SNB to retain its one-sided guidance: FX purchases remain possible in response to an abrupt and excessive appreciation, but systematic intervention and a return to the 2022 strategy are unlikely.

All in all, we expect the SNB to leave its policy rate at 0% and to retain its targeted approach to foreign exchange intervention. As long as domestic inflation remains subdued and the franc stays strong, albeit without appreciating excessively, the SNB can continue to run a significantly more accommodative monetary policy stance than most other central banks.

Author

Charlotte de Montpellier

Senior Economist, France and Switzerland

charlotte.de.montpellier@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

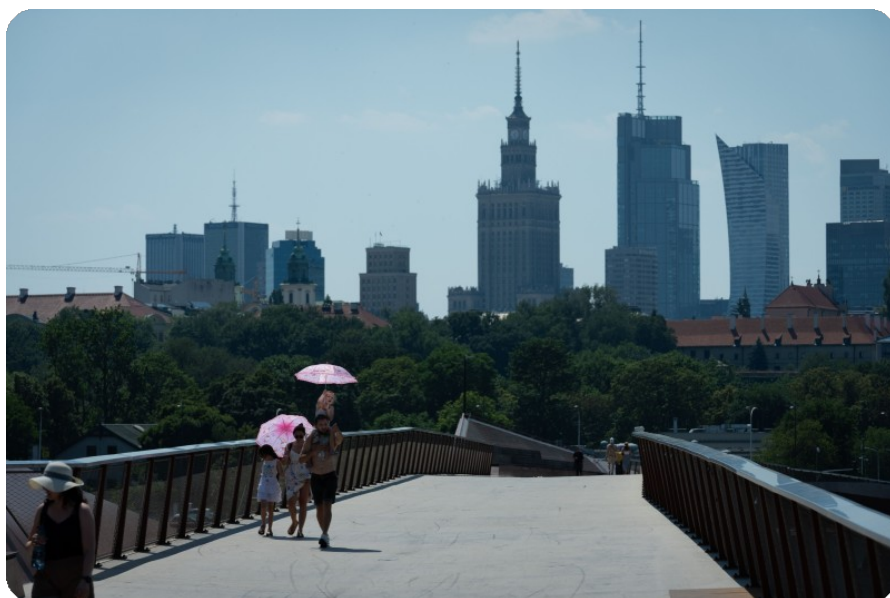
Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 18 September 2026

CZECH REPUBLIC POLAND

CEE & CCA week ahead: Labour markets, confidence data and interest rates in focus

Next week, Poland will release labour market, construction and retail sales data, while the Czech Republic publishes confidence indicators and Azerbaijan announces its latest monetary policy decision



Warsaw, Poland

Poland: Consumer demand and labour market trends in focus

August labour market data will be released on Monday. In July, wage growth was boosted by one-off payments in some sectors (energy, forestry), and we estimate that earnings growth eased in August but probably remained above 6% year-on-year, supported by the ongoing recovery in industry and a favourable calendar effect. The general downward trend in wage growth is likely to continue in the coming months, and domestic price pressures remain contained even as headline CPI rises on the back of the energy shock. The pace of the decline in enterprise sector employment was probably unchanged, remaining at 0.8% YoY.

Monday also brings August construction output data, which disappointed significantly in July, posting an annual decline, but it is possible that there were delays in reporting completed stages of ongoing projects. Therefore, we expect solid annual growth in August, supported by

projects financed under the National Recovery Plan (NRP) and the overall strength of fixed investment activity in the economy (up 8.4% YoY in 2Q26). We believe that residential construction remains the only weak spot, as the overhang of unsold dwellings continues to weigh on construction activity. By contrast, civil engineering and specialised construction works were probably robust last month.

The ongoing energy crisis and slowing wage growth are weighing on consumer spending, contributing to a gradual slowdown in private consumption (to below 3% YoY in 2Q26). However, demand for durable goods remains relatively resilient. During the last two weeks of August, VAT on fuels was temporarily reduced from 23% to 8%, which probably boosted sales of petrol and diesel, as further price increases were widely expected in September. We estimate that the August reading of retail sales of goods grew by around 5% YoY.

Czech Republic: Consumer sentiment to stabilise as industry mood softens

Wednesday brings the release of September's economic sentiment and confidence indicators. Consumer confidence has likely stabilised in September, following the previous notable drop. Solid real wage growth should still be able to hold consumer mood above its long-term average, though both may come under pressure at the turn of the year due to increasing consumer prices. The mood in industry is set to have slightly weakened throughout September, as the effect of new orders inflow was likely offset by surging oil prices and uncertainty caused by the re-escalation of the Middle Eastern conflict.

CCA: Central bank of Azerbaijan likely to leave rates unchanged

The Central Bank of Azerbaijan is likely to keep the refinancing rate unchanged at 6.50% at its upcoming policy meeting next Wednesday, as current CPI remains stable at 5.6-5.8%, within the borders of the target range of $4 \pm 2\%$. That said, given the upward trend in global and regional inflation and rates, the tone of the commentary should become increasingly risk-focused, and hawkish guidance is not excluded as a possibility.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
Monday 21 September				
Poland	0830	Aug Employment Growth (YoY%)	-0.8	-0.8
	0830	Aug PPI (YoY%)	4.1	2.8
	0830	Aug Wages (YoY%)	6.2	6.8
Tuesday 22 September				
Turkey	0800	Sep Consumer Confidence	-	90.8
Poland	0830	Aug Retail Sales (YoY%)	5.1	3.9
	1300	Aug M3 Money Supply (YoY%)	11.1	11.3
Hungary	1300	Rate Decision	5.50	5.50
Wednesday 23 September				
Russia	1700	Aug Industrial Output (YoY%)	0.2	0.4
Azerbaijan	0700	Refinancing rate (%)	6.50	6.50
Poland	0830	Aug Unemployment Rate	5.8	5.8
Thursday 24 September				
Czech Rep	0800	Sep Consumer Confidence	102.5	102.3
	0800	Sep Business Confidence	100.0	100.2
	0800	Sep Composite Confidence Index	100.4	100.5
Poland	0830	Sep Business Confidence	-	-5.1
Turkey	1230	FX Reserves (USD bn)	-	70.4
Friday 25 September				
Hungary	0730	Q2 Current Account Balance (QoQ%)	-	0.3
	0730	Aug Unemployment Rate	4.7	4.6

Source: Refinitiv, ING

Author

Adam Antoniak

Senior Economist, Poland

adam.antoniak@ing.pl

David Havrlant

Chief Economist, Czech Republic

420 770 321 486

david.havrlant@ing.com

Dmitry Dolgin

Chief Economist, CIS

dmitry.dolgin@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any

THINK Economic and financial analysis

person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 21 September 2026

RATES THE NETHERLANDS

Dutch pension funds no longer a shock absorber of higher rates

Dutch pension funds once provided a natural source of demand as rates rose. The new pension framework offers less flexibility, making a similar wave of receiver-swap buying less likely. We still see demand for credit, mainly in assets that closely track euro swaps

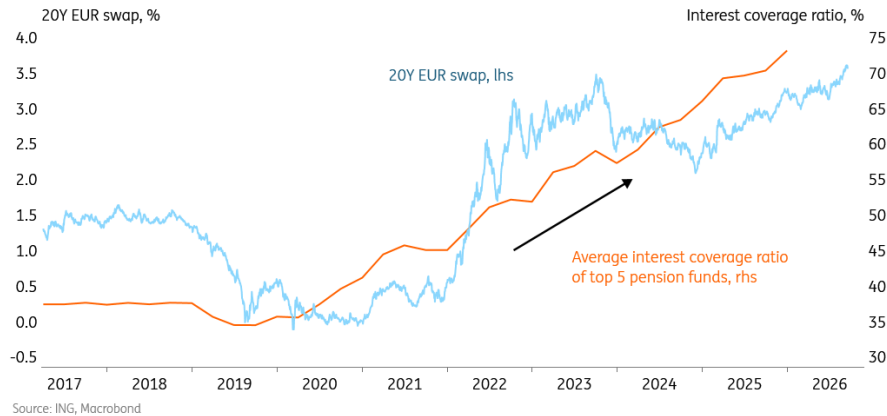


Dutch pension reforms are changing how funds manage risk and respond to rising rates

Pension funds won't jump in to absorb the rise in rates under new system

Under the old system, pension funds often had greater flexibility in managing liability hedges, triggering large flows into euro fixed receiver swaps when rates rose. This was particularly noticeable after 2021, when interest coverage ratios rose by some 30 percentage points. Pension funds had reduced their hedges during the low-rate environment and increased them significantly again when rates rose on the back of higher inflation. This helped to lock in healthy funding ratios.

Pension funds increased interest rate hedges when rates and funding ratios rose



The new system does not offer the same dynamic hedging flexibility, which also means pension funds will be less opportunistic when rates rise. Instead, the interest rate hedging ratios per age cohort are predetermined in each fund's transition plans. For instance, ABP (the largest fund with €500bn assets), sets a 10% hedging ratio for younger participants, which then rises to 75% for those in retirement. In theory, these could be adjusted at later stages, but doing so is more complex than under the old system.

More static hedging and structurally lower demand for longer-dated rates add to the upward pressure on 30Y euro swap rates. Liquidity conditions at the long-end of the curve can also deteriorate, something we've already observed in recent market moves. For this reason, we continue to see steepening pressures on the 10s30s curve, although much hinges on the global macro environment. A flattening of the 5s10s on the back of higher oil prices pushes against these forces.

Most pension funds are still incentivised to track the EURIBOR curve

Whilst the new system no longer relies on a funding ratio, the EURIBOR 6M curve remains an important benchmark for hedging purposes. So even though we see scope to rotate away from government bonds to credit, we expect funds to remain focused on credit products that closely track the swap curve.

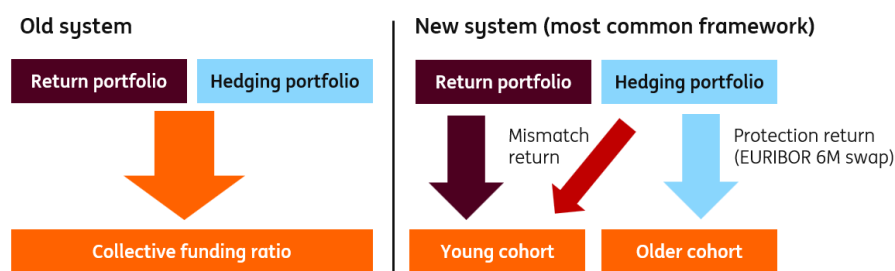
The old system did not distinguish between individual returns – everything went into one big pot – which was easy to report and communicate to participants. Better portfolio returns would simply translate into a higher funding ratio. All liabilities were also hedged together. If the portfolio of hedges did not follow the regulatory discount rate closely (i.e. the EURIBOR 6M swap curve), the difference would simply be captured in the overall return of the portfolio. A

relative gain due to, for example, positive swap spreads, would benefit all participants equally.

In the new system, interest rate hedging is applied by age cohort, and consists of a “protection return” and an “excess return” component. In practice, this still means funds manage two portfolios, but the allocation of each portfolio’s returns changes over a participant’s life cycle. Young participants are almost entirely exposed to the excess return whereas those in retirement are mostly exposed to the protection return.

The protection return can be calculated using the theoretical returns from a EURIBOR swap or from a dedicated hedging portfolio. Most funds seem to choose the theoretical method but still construct a hedging portfolio that includes a mix of bonds and swaps. This leads to a mismatch between the actual return of the hedging portfolio and the protection return allocated to participants. The mismatch is added to the excess return component, which means that young participants will mostly absorb this.

Mismatches with the swap curve get allocated to younger participants



Source: ING

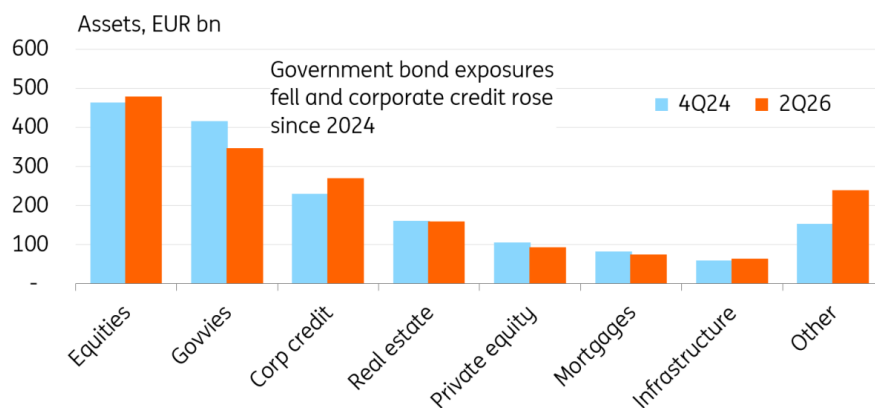
The mismatch can, for instance, stem from sharp credit spread moves and can be difficult to explain to younger participants. Young participants might find themselves penalised by losses in the hedging portfolio, even though those investments are primarily for older participants. To avoid communication challenges, pension funds will therefore still be incentivised to construct a hedging portfolio that closely tracks the swap curve.

Credit to benefit, but only those trading in line with euro swaps

Whilst we anticipate a rotation away from government bonds towards corporate credit for the hedging portfolio, credit quality will remain important. Government bonds no longer benefit from preferential regulatory treatment and the shortening of duration will also help other credit products. Therefore we anticipate an increase in demand for investment grade and Supranational, Subsovereign and Agency (SSA) bonds. But at the same time, we acknowledge credits with more volatile spreads versus swap curves will look less attractive to hold for hedging purposes. The latest data already confirms a gradual rotation from government bonds to corporate credit.

In addition, as the new system offers a clearer separation of risk for younger and older participants, we could see less demand for assets with a more moderate risk profile. Pension funds can increase the exposure to riskier assets without negatively impacting older participants. As such, categories such as USD bonds and emerging market hard currency debt might see a structural fall in demand.

Corporate credit benefits from the reforms, at the expense of govies



Source: ING, DNB

Pension funds will be forced to rebalance hedges more frequently

Moving from a defined benefits (DB) to defined contribution (DC) system also changes the liabilities base for hedges, forcing more frequent rebalancing. Liabilities under the old system were relatively stable since these were promised payments in the future. In the new system, the liabilities are a direct function of the fund's total assets, which is volatile by nature and moves up and down alongside global financial markets.

When equities rise in value, pension funds will have to increase interest rate hedges to match higher liabilities. In theory, this should trigger large swap flows on a monthly basis, to assure compliance with the set hedging ratios. In practice, however, pension funds will likely operate with narrow ranges around the hedging targets. While this should avoid sharp flows on every market move, we still anticipate more activity than under the old system.

Author

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies)*. The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.

Article | 18 September 2026

FX

FX Daily: Bank of Japan plays catch-up with the Fed

The yen has weakened back to summer levels following the Bank of Japan's dovish rate hike. More broadly, we continue to see upside risks for the dollar, with oil prices likely to become the predominant driver in the short-term given the quieter US data calendar



The yen has drifted back to summer levels as a dovish BoJ hike clouds the outlook for additional hikes

➔ USD: Oil in driver's seat

Moderating oil prices have taken the edge off the dollar's post-FOMC momentum. Energy markets may be gaining some optimism that Tuesday's reported meeting between US President Donald Trump and the Gulf States during the UN General Assembly could yield some clarity about plans for the region. Media speculation also points to Trump nearing a major decision on whether to escalate military operations or pursue an end to the conflict. Even so, we do not see these developments as enough to take Brent back below \$100/bbl at this stage.

We still see upside risks for the dollar as the Federal Reserve's hawkish message on Wednesday has, in our view, given the green light to markets to fully price in a hike in October if data and energy prices suggest so.

Looking ahead to the next few days, we note that this is typically a cyclical lull period for top-

tier US data releases. Today, industrial production and the leading index for August shouldn't attract much market attention, and the calendar is rather light next week. That leaves oil prices as the main market driver into month-end.

Fedspeak will also be watched, although the dot plot seemed clear enough in signalling the Fed is planning to hike again this year. Off-meeting remarks by FOMC members will become more relevant after September's data releases.

Francesco Pesole

➔ **EUR: ECB speakers still hinting hawkish**

European Central Bank members have resumed public appearances, with three policymakers delivering policy-related remarks yesterday. The tone remained broadly hawkish. Neutral-to-hawkish Gabriel Makhoul said every meeting is a "live" one, leaving the door open to an October hike; Ante Zigman, who is considered somewhat more hawkish, stressed the resilience of growth and the need to bring inflation lower. Olli Rehn, one of the Governing Council's most dovish voices, was unsurprisingly more neutral but did not push back against market expectations. It confirms the dovish camp is weak at the moment.

One notable point was that all three policymakers said there is no evidence of second-round effects. That remains somewhat inconsistent with the prevailing hawkish narrative and guidance. Even so, we do not expect any shift in tone in the near term.

This is one reason not to chase EUR/USD lower too aggressively from current levels. At the same time, front-end USD rates could still move higher in the coming weeks, particularly around key data releases, while the broader commodity and risk backdrop continues to point to downside risks for EUR/USD.

President Christine Lagarde speaks later today, but it is difficult to see her adding much to the message so soon after the meeting. A test of 1.140 remains the near-term risk, although our base case is for some stabilisation today.

Francesco Pesole

⬇ **JPY: Dovish hike leaves the yen exposed**

The Bank of Japan has raised its key rate by 25bp to 1.25% in a split vote, with Toichiro Asada and Ayano Sato dissenting. Japan's core inflation measure remained above 2% throughout 2025, and the BoJ expects inflation to stay above target in the coming years. The decision therefore acknowledges persistent upside inflation risks. However, Friday's data showed inflation easing slightly in August, partly because of subsidy-related distortions. The two dissenting board members, appointed by Prime Minister Sanae Takaichi, argued that without a renewed pick-up in inflation, a rate hike at this meeting was unnecessary. Their dissent could

make it harder for the board to reach consensus on another hike this year.

The yen weakened to 157.11 against the dollar, around one yen above its pre-decision level, as the statement offered little additional hawkish guidance to support bullish JPY positions. The dissent from Asada and Sato points to resistance against the fastest pace of rate increases in more than three decades and suggests they may increasingly act as a brake on further tightening.

Today's dovish surprise also underscores the high bar set by the Fed this week. We continue to see upside risks for USD/JPY, with a move back towards 160 possible in the coming weeks if oil prices remain elevated and the Fed hikes again as early as October.

Frantisek Taborsky

➔ **CZK: CNB remains relaxed but later turn should support FX again**

The Czech National Bank yesterday left its policy rate unchanged at 3.75% in a unanimous decision. The CNB press conference struck a dovish tone relative to market pricing, as expected, but signalled a "no-change" stance compared to the August meeting. The CNB Board remains open to further rate hikes yet sees no need to rush at this moment. However, our economists changed their forecast from unchanged rates to a hike in November, given our upside revision in the Czech inflation forecast and elevated global energy prices.

While the initial market reaction was dovish, rates ultimately ended the day unchanged from pre-decision levels. The CNB outlook remains a mixed bag; four rate hikes are still priced in, and the yield curve saw only slight steepening. Looking ahead, we anticipate the CNB adopting a more hawkish stance in the coming weeks and months. This should shift the curve from steepening to flattening and support the currency.

EUR/CZK briefly touched 24.350 yesterday but closed lower. For now, the 24.300–24.350 range appears fair, though we expect a stronger US dollar to push the pair higher in the coming days. However, September inflation data, due in early October, could mark a turning point; headline figures exceeding the CNB's forecast for the first time in a while might trigger more hawkish commentary from the central bank.

Frantisek Taborsky

Author

Frantisek Taborsky

EMEA FX & FI Strategist

frantisek.taborsky@ing.com

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Chris Turner

Global Head of Markets and Regional Head of Research for UK & CEE

chris.turner@ing.com

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.